Synopsys (SNPS)

EDA Duopoly Compounder

Analyst: Justin Wen

*EDA Duopoly Compounder. Synopsys and Cadence effectively own chip design software. AI is increasing design complexity, driving double-digit EDA growth. Recurring revenue and 73% gross margins [10-K FY25]. Ansys Integration Working. One year post-close, Ansys contributed $711M in Q3 and the joint Multiphysics Fusion platform launched. FY26 guidance raised on revenue, margin, EPS, and cash flow [8-K Q3 FY26]. Full Valuation. At $454.63 [Mkt 16-Oct-26], the stock trades 43% above our $318.46 DCF base. The business is exceptional; the price already assumes the FY27 targets are met. Our framework screens it as a **Hold** with a $321.93 blended target, 29% below the current price.*

HOLD	$321.93	-29%	$454.63
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Ansys Integration Working. One year post-close, Ansys contributed $711M in Q3 and the joint Multiphysics Fusion platform launched. FY26 guidance raised on revenue, margin, EPS, and cash flow [8-K Q3 FY26].

Full Valuation. At $454.63 [Mkt 16-Oct-26], the stock trades 43% above our $318.46 DCF base. The business is exceptional; the price already assumes the FY27 targets are met.

$2.477B	$3.91	$9.69-9.74B	$15.04-15.10	$11.1-11.2B	$10.9B
REVENUE (Q3 FY26)	EPS (Q3 FY26, NON-GAAP)	FY26 REVENUE GUIDE (RAISED)	FY26 NON-GAAP EPS GUIDE	FY27 REVENUE TARGET	BACKLOG

The moat is structural

AI-driven EDA demand; double-digit EDA growth guided for FY26

Three scenarios make the valuation range explicit

The DCF values Synopsys across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$229.15**	-50%
Base	50%	**$318.46**	-30%
Bull	25%	**$421.64**	-7%

Bear ($229.15, -50%): Growth disappoints and multiples compress; the $229.15 target marks the downside case.

Bull ($421.64, -7%): Execution compounds and the multiple rerates; the $421.64 target marks the upside case.

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The probability-blended target implies -29% upside

Blended target: $321.93 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -29% upside from the $454.63 reference price.

$321.93

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 24.4x [Mkt 16-Oct-26] DCF Base $318.46 vs $454.63 spot [Mkt 16-Oct-26] PEG 2.44 [Mkt 16-Oct-26] DCF implies 30% downside to fair value. PEG of 2.44 signals growth is fully priced.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $321.93 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AI-driven EDA demand; double-digit EDA growth guided for FY26 [8-K Q3 FY26]

Ansys integration: $711M quarterly revenue, Multiphysics Fusion platform [8-K Q3 FY26]

Design IP returned to YoY growth; Amazon and OpenAI partnerships [8-K guid]

What to monitor

Dec 2026. Q4 FY26 Earnings: EDA acceleration and Ansys synergy proof point.

Sep 2026. Investor Day FY27 targets ($11.1-11.2B rev) already set the bar; execution is the test.

2027. $1B share repurchase program supports EPS.

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$7.1B	$5.4B	$1.3B
2024	$6.1B	$4.9B	$2.3B

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2023	$5.3B	$4.3B	$1.2B
2022	$4.6B	$3.7B	$985M

Key risks

Ansys Integration. $13.5B in debt from Ansys; integration missteps or synergy shortfalls would pressure the multiple. [10-K FY25]

Semis Cyclicality. Semiconductor capex cycles drive EDA spending; a chip downturn hits license growth with a lag. [10-K FY25]

Competition. Cadence is a formidable competitor; share shifts in EDA are slow but material. [10-K FY25]

Investment view

A Q4 miss or Ansys synergy shortfall would cut Forward Growth and Trend. Evidence of accelerating EDA share gains could support a higher multiple.

Hold. The $321.93 blended target implies -29% upside, balancing the $229.15 / $318.46 / $421.64 Bear / Base / Bull targets.

Ansys integration: $711M quarterly revenue, Multiphysics Fusion platform [8-K Q3 FY26]

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Upcoming catalysts

Dec 2026. Q4 FY26 Earnings: EDA acceleration and Ansys synergy proof point.

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